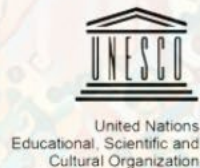


Certification in Islamic Economics and Finance August 2022

HISTORY OF ISLAMIC ECONOMIC THOUGHT AND ITS SIGNIFICANCE

PART 1

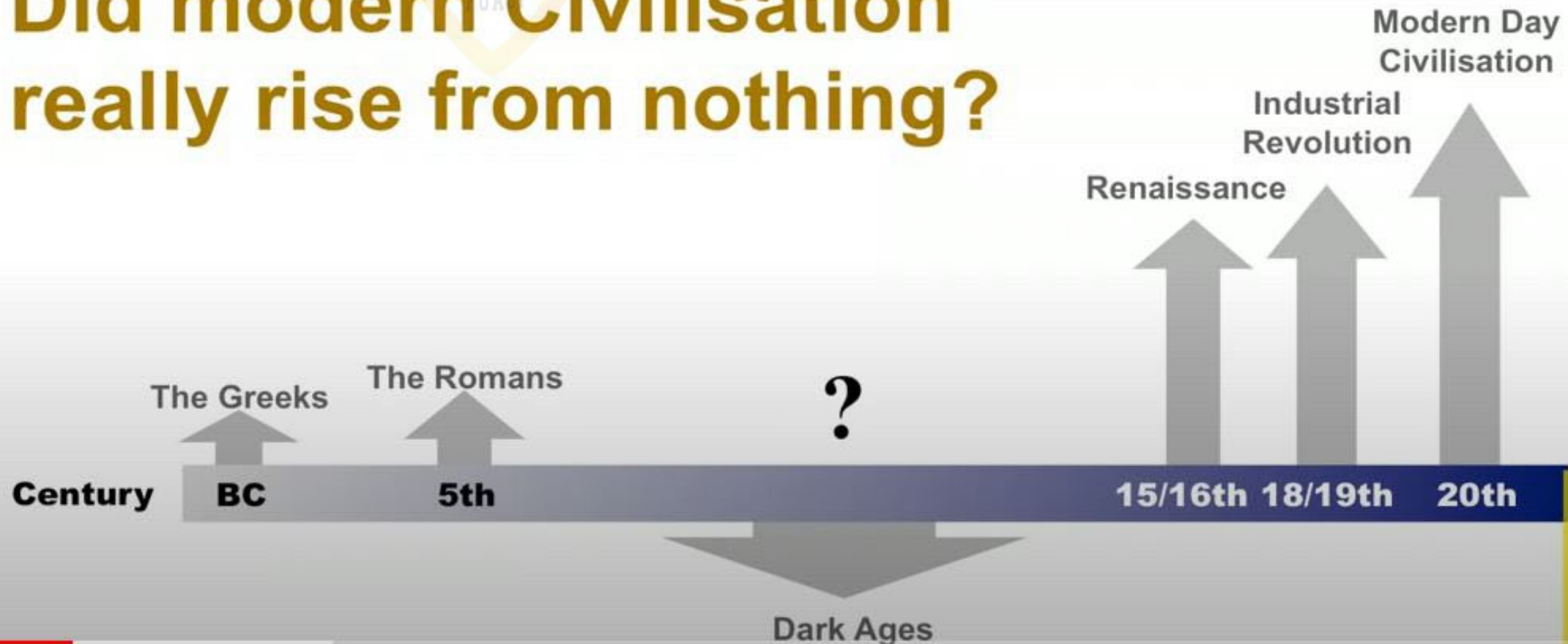
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History of Science and Civilisation as taught by many education systems



Did modern Civilisation really rise from nothing?



Topics that are covered in History of Economic Thought (Conventional)

ANCIENT ECONOMIC THOUGHT

Aristotle

Nicomachean Ethics

ECONOMICS OF THE AGE OF ENLIGHTENMENT

Mercantilism

British Enlightenment

John Locke

Dudley North

David Hume

French Enlightenment: Physiocracy

François Quesnay

Tableau économique

Anne Robert Jacques Turgot,
Baron de Laune

*Reflections on the Formation
and Distribution of Wealth*

Classical Economics, Political Economy

Adam Smith

Wealth of Nations

David Ricardo

Socialist Economics

Marxian economics

Labour theory of value

Anarchist economics

Austrian School of Economics

Carl Menger

Friedrich Von Hayek

Ludwig Von Mises

Neoclassical Economics

Leon Walras

John Bates Clark

Alfred Marshall

Keynesian Economics

John Maynard Keynes

Cambridge capital controversy

Neo-Keynesian Economics

Paul Samuelson

John Hicks (economist)

Neoclassical synthesis

Post-Keynesian Economics

Hyman Minsky

Joan Robinson

Michal Kalecki

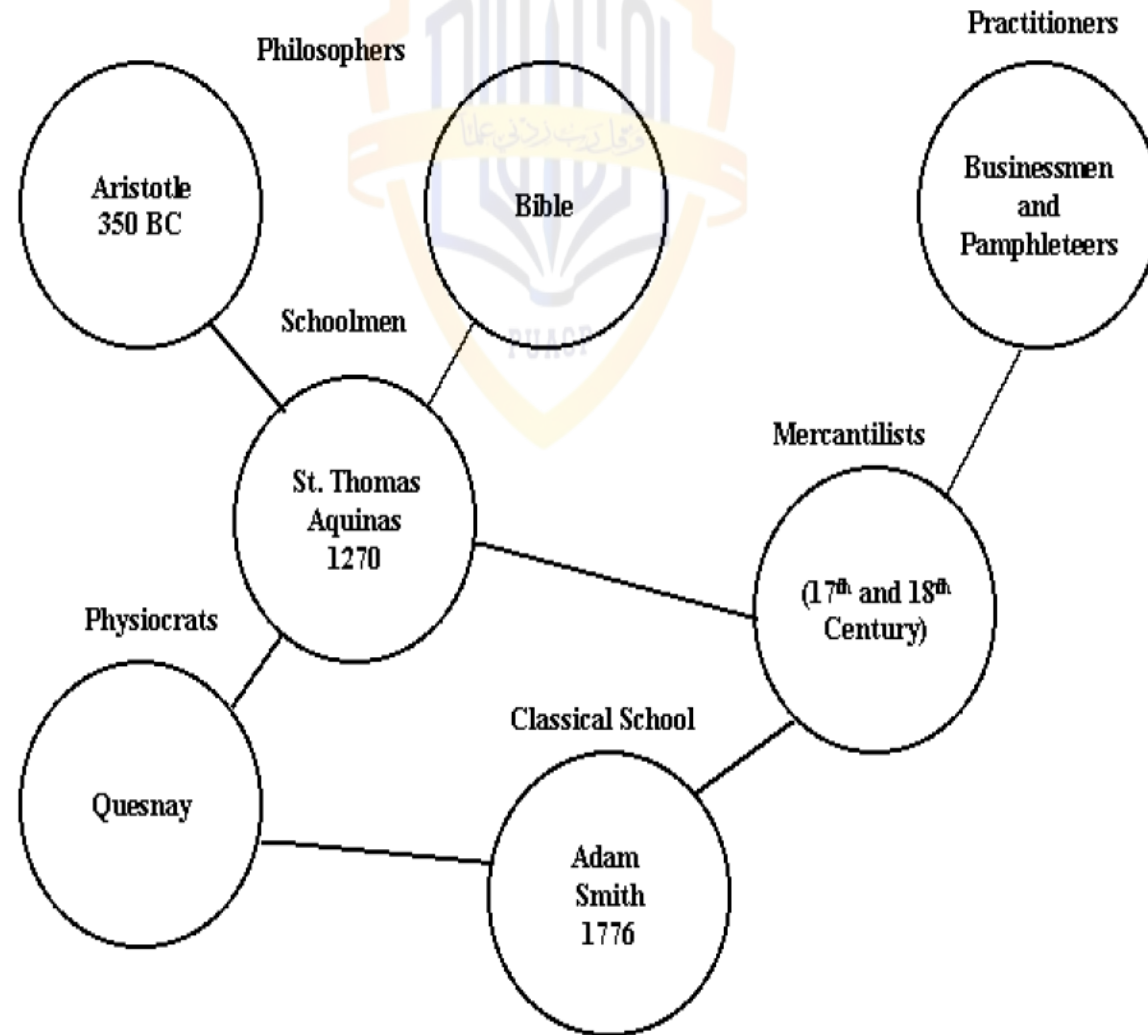
New Keynesian Economics

The Chicago School of Economics

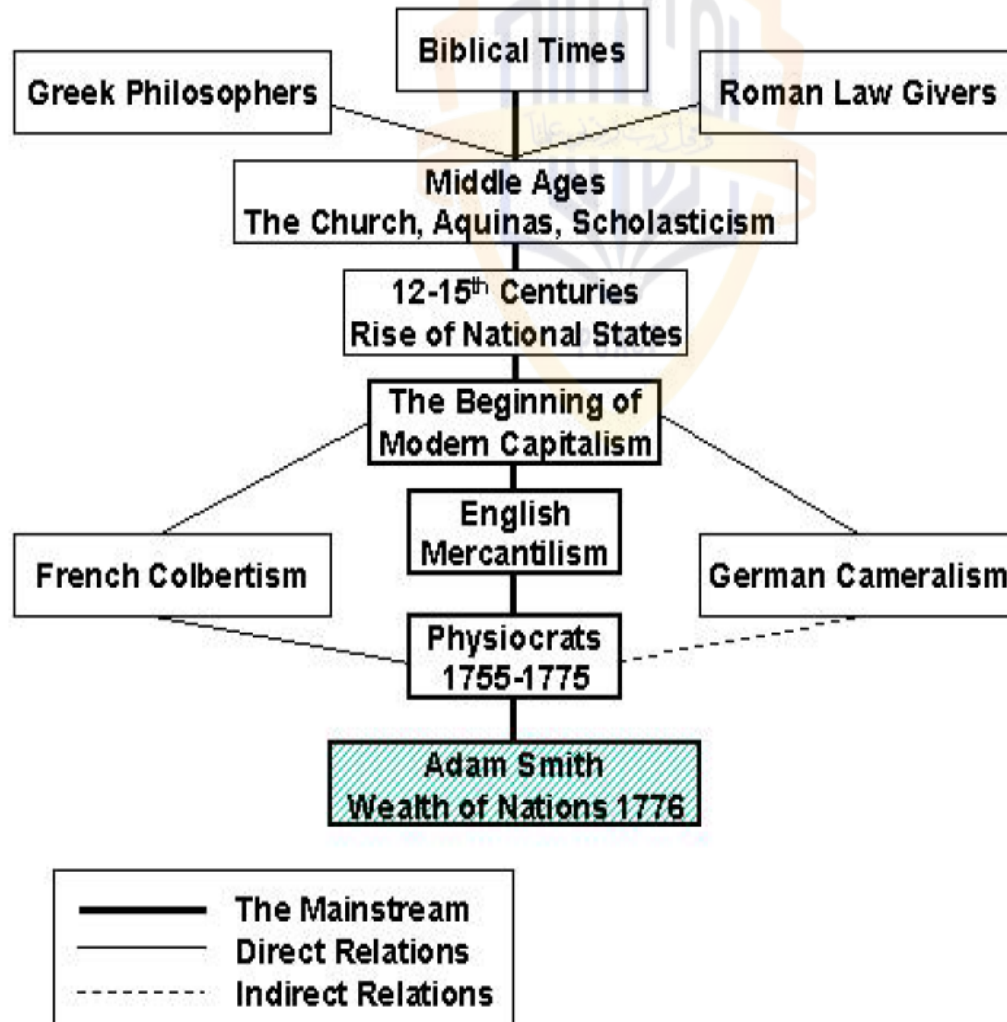
Milton Friedman

Monetarism

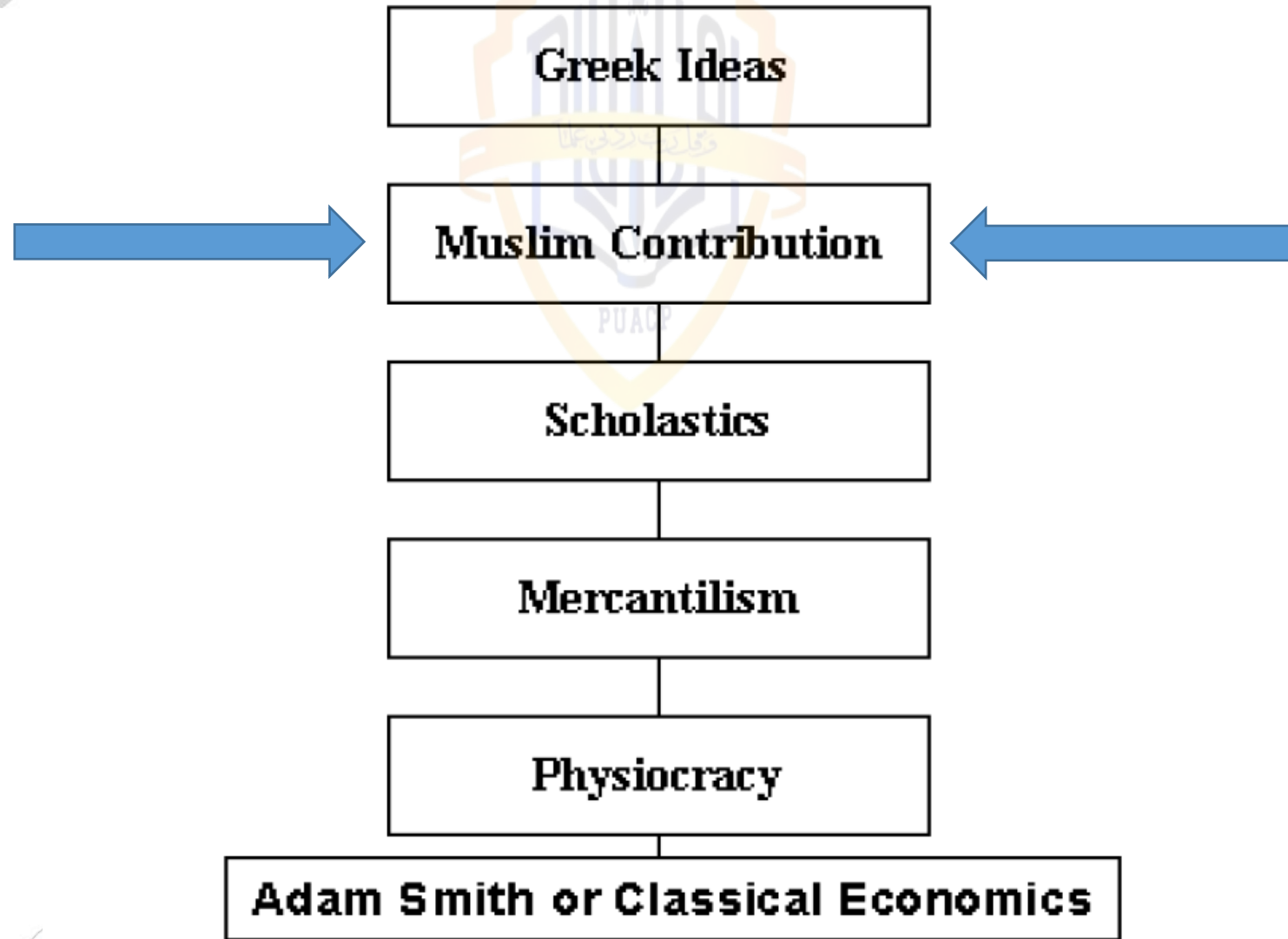




Family Tree of Economics (Conventional)

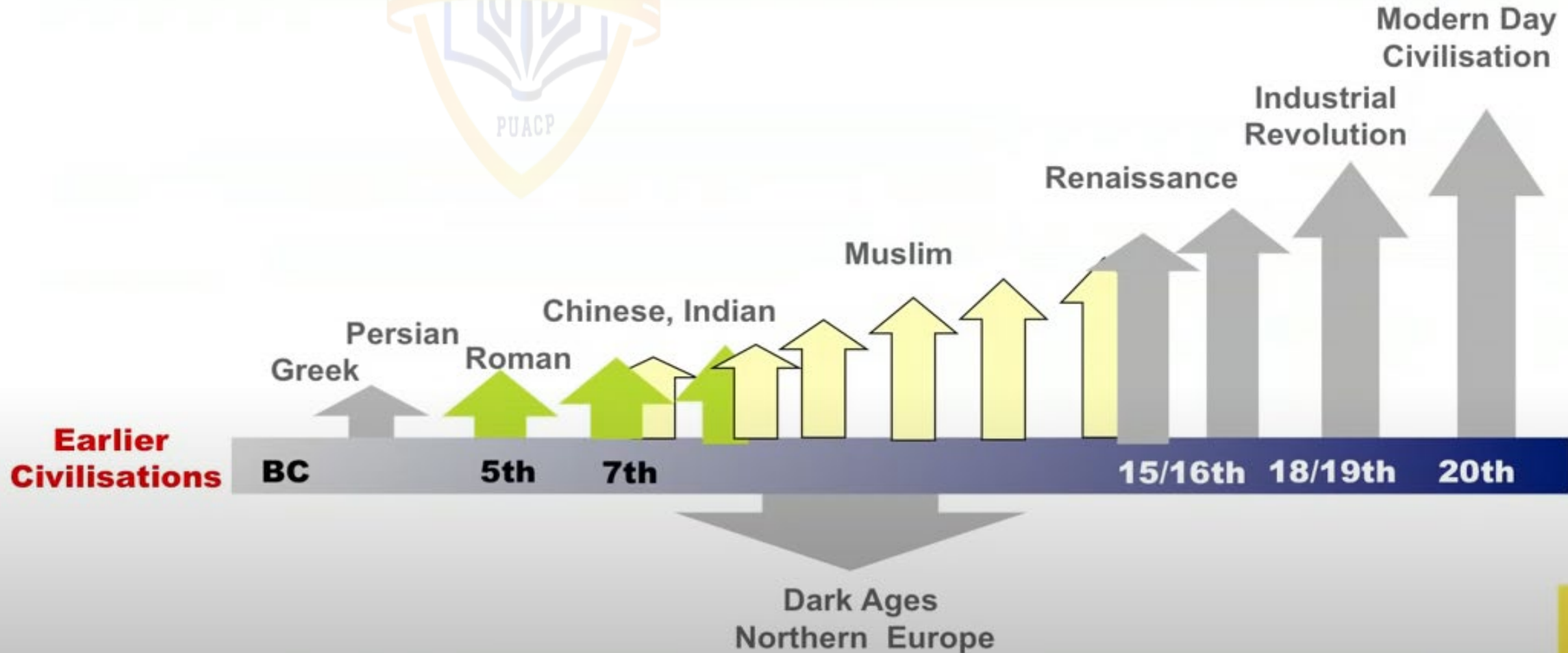


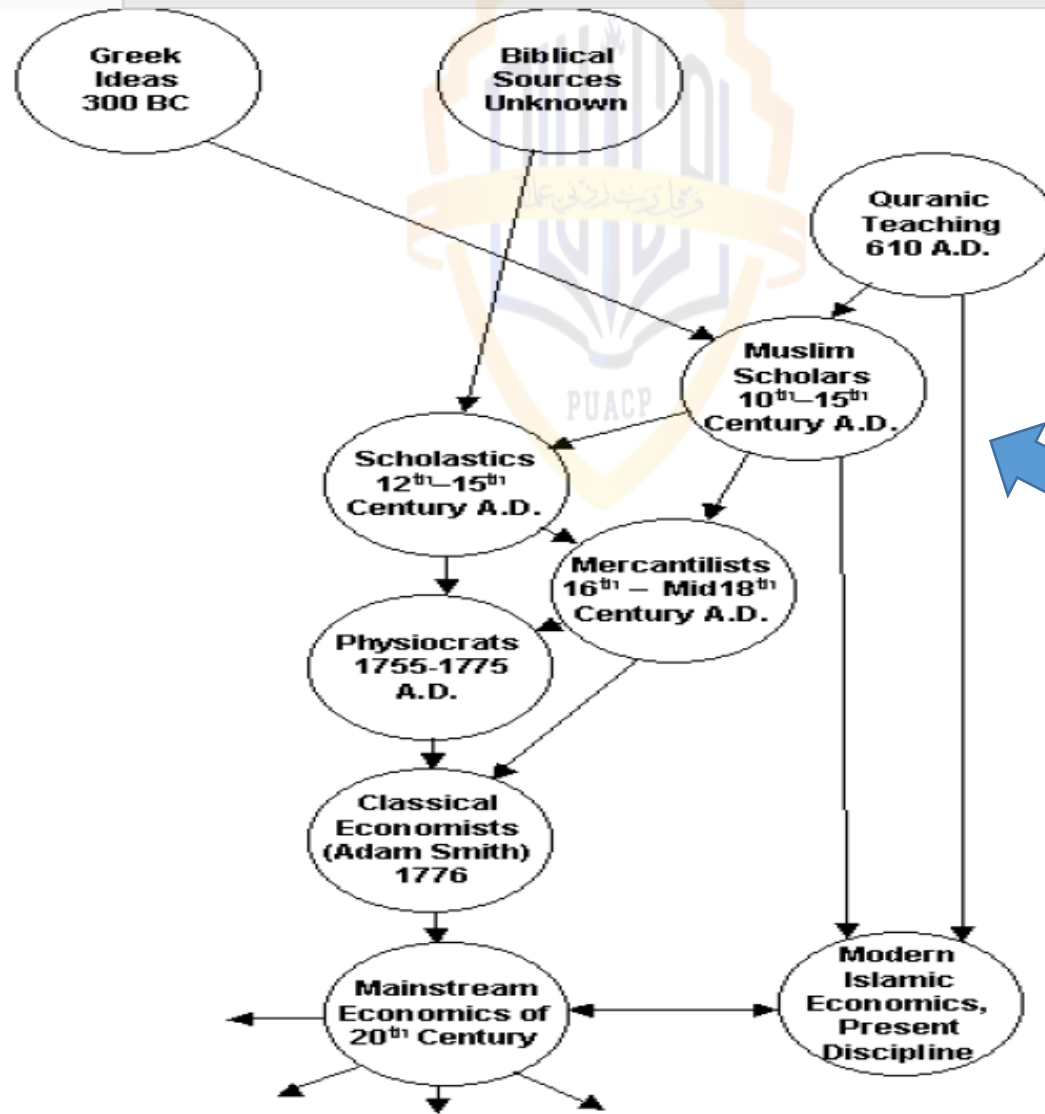
Contributory Currents in the Development of Economic Thought (Conventional)



Where is the **Place**
of Muslim Scholars
in the Family Tree
of Mainstream
Economics?

History of Science and Civilisation as **should be** taught:





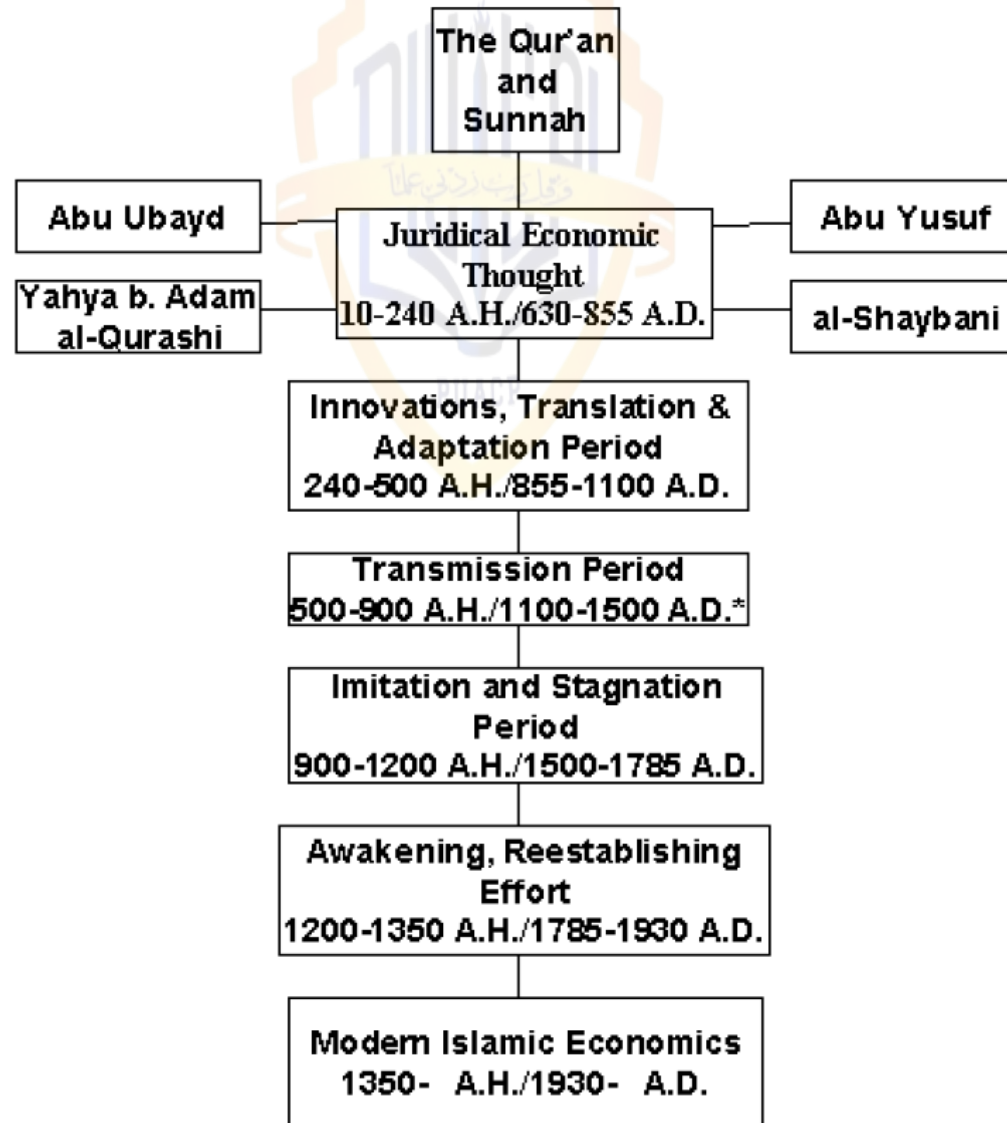
Interaction and
Influence of Islamic
Economics from
beginning up to the
modern period



History of Islamic Economic Thought

- Contributions of Muslim Scholars to Economic Thought and Analysis
- Missing link in the history of economic thought
- Literature review
- The Formation Period 632-718 AD
- The Translation Period 8th-11th century
- The Retranslation and transmission period 12th-15th century





History of Islamic Economic Thought

What is Islamic economic thought & How it is relevant to the modern world of economics?

- Islamic economic thought is the Muslim thinkers' response to the economic challenges of their times
- The sources of all economic thought are Qur'an, Sunnah, thoughts and actions of the Four Rightly Guided Caliphs, and the use of reason and experience.
- The study is designed to recognize the importance of the history of Islamic economic thought and analyze the knowledge of the past Muslim scholars' contribution in the area of economic ideas and thoughts and apply the knowledge of history to contemporary economic issues.



Why History of Islamic Economic Thought should be taught?

1. To recognize the contributions of Muslim scholars in the history of economic thought.
2. To understand various methodologies of scholars and their responses to the particular economic challenges of their time.
3. To analyze the relevance of the above to the current economic problems.
4. To apply the knowledge and be creative with the solutions in the contemporary economy.



ENGAGEMENT QUESTION

What is your stand on studying history? Does it help you personally?

What are your lessons from the history of translation and retranslation periods?

Will Islamic economics in the modern period succeed like it did in the golden period (dark ages)?
What are the challenges?



Certification in Islamic Economics and Finance August 2022

CONTRIBUTIONS OF MUSLIM SCHOLARS IN ECONOMIC THOUGHT

PART 2

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SCHOLARS OF ISLAMIC ECONOMIC THOUGHT

ABU HAMID AL-GHAZALI



LEARNING OUTCOMES

- Recognize the importance of *maṣlaḥah*, just government and economic prosperity, division of labour and specialization, *zakāh*, and aspects of earnings.
- Analyse the knowledge of *halal* and *haram* in income and consumption, trade and commerce, wealth, and aspects of ownership in the area of economic ideas and thought.
- Apply knowledge on ruler's accountability in wealth management, poverty, and ethics in contemporary economic activities.





SCIENCE & FAITH
the relationship between

Al-Ghazali (Algazel)

One of the **great** Jurist, Theologian and
Mystic of the **12th Century**



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INTRODUCTION

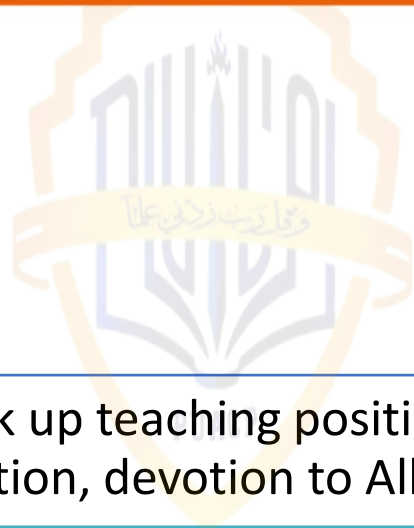
- Abu Hamid Ibn al-Ghazali, is an eleventh-century Arab scholar, “acclaimed as the greatest and the most important thinker of medieval Islam”. Ghazali’s scholarship extended to many diverse fields of learning.
- His writings, as those of European Scholastic and others of his era, emphasized the “holistic” intellectual approach.
- Ghazali’s economics is anchored on five necessary Shariah-mandated foundations of individual and social life: religion, life, family, property, and intellect.
- He focuses on the economic aspects of *maslaha* (social utility), distinguishing between necessities, comforts and luxuries. Subsistence living is inadequate but wealth too has its dangers. Both extravagance and miserliness are to be avoided, a middle course is recommended.
- Ghazali on wealth and (voluntary) poverty. Ghazali’s insights on exchange, production, money, role of the state and public finances are reported. Ghazali emphasizes ethical behavior in the market and regards production and supply of necessities to be an obligatory duty.
- He condemns hoarding and lauds cooperation. Usury is rejected and justice, peace and stability are projected as preconditions of economic progress.



His life

- Born in 450/1058, Ghazali was orphaned at a young age.
- The promise of free lodging persuaded him to attend a school, which infused in him an urge for learning.
- He began to study with his father's sufi leader and friend, then joined a madrasah and gained knowledge from several reputed scholars of the time.
- While economic necessity led him to become a student, this environment infused in al-Ghazali a strong desire to excel in search of knowledge.
- In pursuit of his scholarly endeavors, which followed the standard curriculum of Islamic higher education (Qur'an, traditions, jurisprudence), he traveled to Jurjan, Nishapur, and Baghdad





Although he took up teaching positions occasionally and left subsequently, his main concern was self-purification, devotion to Allah, and guiding others In this path.

His reputation as a scholar made Nizam al-Mulk al-Tusi to appoint him to the chair of Theology at the Nizamiyya College of Baghdad in 1091 at his age of 34.

Although he was successful in teaching, drawing even the jurist in his classes, he left the college in 1094, performed hajj (pilgrimage).

He had travelled extensively and mastered the standard curriculum of Islamic higher education (scriptures and jurisprudence).

He spent ten years in Syria, Palestine, Arabia, Iraq, and Egypt.



Throughout his student life, he received some instruction in Sufism (Mysticism) also, in addition to other branches of learning. Because of his early dissatisfaction with Sufism on several issues, he abandoned this pursuit during much of his adult life and studied the "Islamic Sciences", including logic, philosophy, and theology intensively, only to return to Sufism in his later life.

During the last few years of his life, al-Ghazali established a school for the teaching of Islamic principles as contained in the *shariah* (revealed law), along with a hermitage for the purification of hearts and souls, as though he had come to the conclusion that the ultimate source of spiritual contentment and success lay in following the *shariah*.

Then, he returned to Nishapur and later to Tus around 1106 AD where he lived till his death in 1111 AD. Al-Ghazali lived during the reign of the Great Seljuq Dynasty



His Works

- Endowed with an encyclopedic knowledge and saintly character, al-Ghazali's contributions and accomplishments extend over various fields of learning - ethics, logic, dialectics, theology, jurisprudence, sufism, *tafsir* (Qur'anic commentary) *hadith* (traditions of the Prophet, peace be upon him), and *al-kalam* theology).
- Ghazali mixed philosophical, religious, ethical, sociological, and economic considerations into his writings.



Some of his major works are:

Al-Tibr al Masbuk fi Nasihat al Muluk, originally in Persian, a manual for rulers for just polity, translated in English as *Book of Counsel for Kings*, by F.R.C. Bagley.

Ihya Ulum al Din (The Revival of the Religious Sciences), Al-Ghazali's most significant work, in four volumes, covers all aspects of human life, according to Islamic *shariah*.

Al-Iqtisad fi'l I'tiqad (The Golden Mean in Faith), a book on theology (al-kalam).

Al-Mustasfa min 'ilm al Usul (Knowledge of the Rules of Jurisprudence), a book on the principles of Islamic jurisprudence.

Mizaan al-'Amal (The Criterion or Logic of Action), one of the early works on ethics.

Al-Munqidh min al Dalal (Deliverance from Error), an account of the development of his religious thought.



AL-GHAZĀLĪ

Volume I

THE REVIVAL OF THE
RELIGIOUS SCIENCES

Ihyā' ʿulūm al-dīn

BOOKS I through X

Translated by Muhtar Holland

- It must be acknowledged, for the sake of intellectual honesty, that al-Ghazali himself was deeply influenced by the writings of such Greek philosophers as Plato and Aristotle especially the Aristotelian Logic.



Residence of al-ghazali

ECONOMIC IDEAS

- The main focus of al-Ghazali's intellectual pursuits was not the dominion of economic and material aspects of life.
- The philosophy underpinning Ghazali's analysis of economic pursuit is that economic achievement is a means to the end, and not an end in itself. Wealth is means to the success in the eternal life
- Men needs food to maintain good health without which it is difficult to fulfill moral obligations including seeking of knowledge and its application in action, which includes service to Allah (SWT) and humanity.





Economic agents may be classified into three groups. These are as follows:

1. Those people whose economic involvements occupy them fully so that they forget their place of return, the hereafter. They are among those who will really be ruined.
2. Those whose concern for the hereafter keep them away from economic activities. These are successful people.
3. Those who get involved in economic activities for the hereafter. They are the nearest to the straight path (middle way)



Economic activity for halal (permitted) earning has a religious status, provided one follows the Islam norms of economic activity and the objective is good, and not for pride and accumulation.

Allah (SWT) has provided resources for the benefit of mankind and so they should work to earn them, use them, and express the gratitude of Allah (SWT).

Success in the hereafter can be achieved when economic activities are carried out in order to be free from the dependence on others, and to fulfill one's own need and the needs of others, satisfy other Islamic obligations, provided Islamic norms of earning have been followed.

According to him, economic pursuits are condemned if their objective is to get more than needed for the accumulation of wealth and for the hoarding, and not to spend in goodness and charity which is the root of all evils.





- According to Ghazali, the basic knowledge of Islamic economics is compulsory on every economically active Muslim to the extent of basic Islamic legal norms relevant for his activity, whether it is obtained from Islamic economic literature or from the juristic sources, through study, reading or discussion with the persons of knowledge.
- This is because one must know how to deal with a problem when it arises, lest he might get himself involved in what is not allowed.

ENGAGEMENT QUESTION

Describe how a Muslim trader/businessman could integrate his pursuits for worldly gains and that of the hereafter in his business activities?



Trade or Bai'

- Ghazali analyzed three elements (arkan) in bai' (trade) :
 - The two transacting parties, the buyer and the seller
 - The item of exchange, the goods and services and The statement of contract.
- This classification proves his analytical insight and perception of economics.
- Ghazali discussed the juristic eligibilities of persons for valid transaction. Transaction with any man or woman is valid provided the person is not minor, insane, blind or slave.
- Arms (weapons) cannot be transacted with a non-Muslim if he comes from dar al-harb (a country in the condition of war, or a non-Muslim country)



- There are six conditions for a mabi' (an item of exchange) to be eligible from Shari'ah point of view for a valid exchange:
 - ✓ The item of exchange should not be impure in itself such as dog, pig and alcohol.
 - ✓ The item of exchange should be useful and beneficial.
 - ✓ The seller should be owner of the items of sale
 - ✓ The item of sale must be transferable in a Shari'ah approved manner.
 - ✓ The item of sale must be known with certainty, and also its quality and quantity.
 - ✓ The item of sale must be in the possession of the seller.
- Although these conditions are juristic and normative in nature, yet these have important economic implications. First, the impure, harmful and prohibited goods and services should not be produced and traded in the country. Second, the above items will not be included in the national income accounting. Third, the items of trade should be well defined in terms of quality and quantity in order to avoid uncertainty and any probable disputes.



EXCHANGE AND MONEY

- Ghazali recognized the importance of money and offered rather sophisticated discourse as to the evolution of money and its various functions.
- He explains how money overcomes the problem of barter. He discusses the harmful effects of counterfeiting and currency debasement
- Ghazali clearly pointing out here the problem of a barter system that modern jargon would label as first, lack of a common denominator; second, indivisibility of goods, and third, the problem of double coincidence of wants. He asserts that money evolved because 'no society could exist without the exchange of goods, no exchange could effectively take place without equivalence, and such equivalence is only properly determined when there is common measure. Only money can play this role.
- Ghazali recognizes not only the fundamental basis of both value of a good i.e. its usefulness or utility, but also its value in exchange.



- Ghazali understood the various functions of money. But he stresses that money is not desired for its own sake, it carries value only in exchange. Moreover he observes that about the only purposes served by gold and silver is as money dirhams and dinars.
- He condemn those who hoard pieces of money or convert them into other object.
- His concern is primarily with problems that arise from counterfeiting and currency debasement.
- If a coin contains some silver but it is mixed with copper and that is the authorized coin in the country this is acceptable whether silver content is known or not. But if authorized, then it will be acceptable only if silver content is known.



USURY

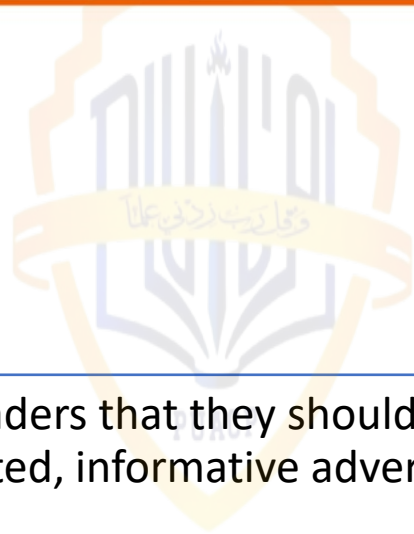
- For Ghazali, as for many other Jewish, Christian, and Islamic scholars, prohibition of usury (often view as equivalent to interest) is absolute, as per the scriptures.
- Transactions other than borrowing and lending where interest may arise in disguised form, some of these may be consistent with the scriptures others may not.
- There are two ways in which interest can arise in disguised form, it can happen when there is exchange of gold for gold, wheat for wheat, but with differences in quantity or in time of delivery. If the time of delivery is not immediate and excess quantity of the commodity is called for, the excess is called *riba al nasiah*.
- For Ghazali both are forbidden if the quantity exchanged is not equal but the exchange takes place simultaneously, the excess given in exchange is called *riba al fadl*.
- Further, Ghazali argues that charging interest on the borrowing and lending of money deflects money from its key function.



MARKETS, PRICES AND PROFITS

- Ghazali provides a surprisingly detailed discussion of the role and significance of voluntary trading activities and the emergence of markets, based on demand and supply forces in determining prices and profits.
- Ghazali thus clearly suggest the “mutuality” of economic exchange, which necessitates specialization and division of labor with respect to region and resources.
- He recognizes that trading activities add values to goods by making them available at a useful place and time.
- Motivated by participants’ self-interest, exchange leads to the creation of profit-motivated middlemen, or traders.
- He also mentions the need for safe and secure trading routes, and remarks that the state should provide protections so that markets can expand and the economy can grow.
- He shows a sound understanding of the interactions of demand and supply, as well as the role of profits as part of the divinely ordained scheme of things.





He admonishes traders that they should not give false information about weight, quantity, or the price. While unexaggerated, informative advertisement is acceptable.

He condemns practices such as alteration, deceptive grading or marketing, and control of markets by secret dealings and price manipulations.

According to Ghazali, markets are to function freely and must be free from deception.

He then enumerates several guidelines concerning the exercise of benevolence in the marketplace, such as leniency in dealing with the poor, flexibility in debt transactions, even foregoing debt repayment from some poor.



PRODUCTION

- He devotes considerable attention to describing various kinds of production activities in a society, including their hierarchy and nature.
- He classifies production activities in terms of their social importance, and emphasizes the need for cooperation and coordination. The production activities should be consistent with the underlying Islamic ethos.
- Production of necessities is specifically viewed as a socially obligatory duty. If some are engaged in producing such goods in sufficient quantities for society's needs, then the obligation of all is fulfilled In this respect.
- An imbalance concerning necessities will tend to create socially destructive conditions.
- He suggests a classification of productive activities quite similar to that found in contemporary discussions: primary (agriculture), secondary (manufacturing) and tertiary (services).



He identifies three broad categories:

- ✓ Basic industries: those which sustain human life. There are four subgroups: agriculture for food; textiles for clothing; constructions for shelter, and activities of the state (including the provision of infrastructure), particularly for facilitating the production of necessities and for promoting co-operation and coordination among those engaged in production.
- ✓ Supportive to basic industries, such as iron industry, mineral exploration and development, and forest resources.
- ✓ Complementary activities relating to basic industries, such as the grinding and baking of agricultural products.
- He recognizes the first group as the most important, suggests that within this group the role of the state, as a mediating force, is rather crucial.
- He believes that to ensure proper harmony of the socio-economic environment, all three groups must be actively promoted and pursued, indeed their fulfillment represents a socially obligatory duty “divine duty”.



ENGAGEMENT QUESTION

Al-Ghazali identifies some positive implications when Muslims view his productive efforts as part of *fardh al-kifayah*. What are those implications?



Economics and Islamic Values

According to al-Ghazali, the satisfaction of seven conditions in the economic activities of a person will make his concern for the *Din* complete:

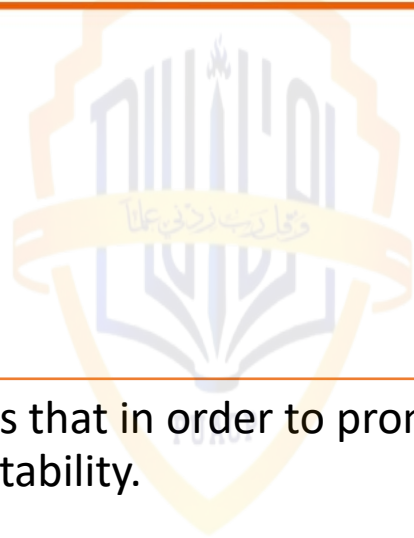
1. Good intention at the beginning of the economic activity.
2. One should intend that he is fulfilling one of the *fard al-kifayah* (social obligation)
3. The market of *dunya* should not keep one away from the market of *akhirah*
4. Remembrance of Allah in the market
5. One should not be very greedy to be engaged all the time in economic activity
6. One should not only abstain from prohibited things but should also refrain from doubtful matters
7. One should have fair dealings and proper behavior with all the parties



ROLE OF STATE AND HISBAH

- Although Ghazali avoided politics, he offers detailed commentary and advice on the conduct of affairs of the state.
- He considers the state to be necessary institution, not only for the proper functioning of society's economic affairs but also for the fulfillment of divinely ordained social obligations.
- He adds that man's inability to fulfill all his needs alone persuades him to live in a civilized society with cooperation, but tendencies like jealousy, competition, and selfishness can create conflicts.
- Ghazali also emphasizes the key role of the state for the good of the society through cooperation and reconciliation.
- Though Ghazali does not discuss the various economic functions of the state in modern terms, he clearly identifies the types of functions along lines that are usually attributed to classical economist such as Adam Smith.





Ghazali emphasizes that in order to promote economic prosperity, the state must establish justice, peace and security, and stability.

Ghazali holds the state is responsible for establishing the proper conditions to promote economic prosperity and development.

He also wrote at length on the institution of Hisbah, an overseeing body employed in many Islamic countries at the time, whose main function was to check harmful practices of the markets.

Ghazali strongly endorses this institution and discusses the types of practices to be checked such as false statement about profits, false advertisement, incorrect weights and measures, usurious dealings, invalid contracts, transactions in prohibited items, and all other arrangements involving fraud.



POVERTY

- Ghazali defined poverty as a state of not being able to fulfill one's needs. Inability to satisfy what is not needed is not poverty.
- If needed items are available and a person can afford them, he will not be treated as a poor person.
- Ghazali provides two dimensions of poverty
 1. Poverty in relation to material need, as mentioned above.
 2. Poverty in relation to the spiritual need.
- Needs are unlimited, when all these two categories are considered. However Ghazali concentrates in the material needs in the Ihya's *Kitab al-Faqr wa al-Zuhd*.
- According to Ghazali, Zuhd (asceticism) is the completeness of piety, and the person possessing this attribute is among the "*muqarrabin*" (those who are close to Allah (SWT)), which deserves highest level of piety such that even the good deeds of the people of piety are considered sins of the "*muqarrabin*".
- This is because involvement in the "*dunya*" is like a curtain between the person and Allah (SWT).



CONSUMER BEHAVIOR

- Ghazali highlighted consumption behavior of Muslims.
- Consumption is not for its own sake, but rather for the pleasure of Allah (SWT) Man requires good health and needs consumption of food in regular intervals.
- The source of obtaining goods and services for consumption must be Islamically acceptable and permitted.
- The goods and services must be pure in themselves, and must not be impure, for example, the meat of pig and alcoholic drinks are not allowed.
- Moderation should be followed in consumption, avoiding both miserliness and extravagance as revealed in the Islamic norms and values.
- Too much spending even in the way of Allah, affecting the family, is not allowed, not to speak of spending in other goods and services.
- Overspending has two evils: al-israf (extravagance) and al-ida'ah (destroying), and should be avoided.



ENGAGEMENT QUESTION

The SDG #12 'Responsible Consumption' promotes preserving our resources and the environment without compromising the ability of future generations to meet their own needs. What is al-Ghazali's view on the act of consumption (*istihlāk*), including before and after the act itself?

